

The primary purpose of the industry risk analysis in the first tier of the broad industry analysis:



Identify firms that are placed at an advantage or a disadvantage or how they individually tackle the risks.



Identify the major risks affecting an industry, assess their level, and finally figure out what can be done about them.



Look for opportunities where entrepreneurs can manage risk differently than existing companies.

If a particular industry faces severe or high-level risks and most of the players in the industry cannot avoid them or transfer them and are forced to accept them, then it may be best to avoid the industry as a whole.

For example, smaller banks that lend only to a particular industry or particular geography are best avoided as these have huge loan book concentration risks.

The riskiness of operations in the industry can be judged based on:

identifying individual risks

ascertaining the ideal versus actual response to them.

One form of risk that affects almost all industries in varying degrees is **the risk of disruptions**.



- This particular risk **threatens the very existence of an industry** in the form of newer business models and stronger value propositions.
- Firms in all industries should constantly look out for such risks.
- This risk must be evaluated in greater depth in the second tier of the broad industry analysis.
- All other industry risks are understood and evaluated at this stage.